



Fit and Proper Criteria Policy

Arvesta Financial Services Private Limited

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(prev. Neo Investment and Finserv Services Private Limited)

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Address: 903 - B, Marathon Futurex, NM Joshi Marg, Lower Parel, Mumbai, Maharashtra - 400013



Document Management

Document Name	Fit and Proper Criteria Policy
Recommended by	Nomination and Remuneration Committee (NRC) of the Board
Approved by	Board of Directors of the Company (" Board ")
Periodicity of Review	Annually
Issue and Effective Date	21 st Jan 2026
Review Date	



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1. Introduction

1.1 Background

Arvesta Financial Services Private Limited and its subsidiaries, if any, ("the Company" or "Arvesta") is committed to conducting business with integrity, transparency and accountability in accordance with all the applicable laws and regulatory requirements.

The 'Fit and Proper Criteria' Policy, duly approved by the Board of Directors has been formulated for ascertaining the 'fit and proper' status of Directors at the time of their appointment and also on a continuous basis.

It may be added that the Company has separately adopted a Nomination and Remuneration Policy for its Directors, Senior Management, and KMPs.

1.2 Objectives

Below are the objectives of the Policy:

- Define fit and proper criteria and due diligence process for appointment and continuation of Directors based on qualifications, expertise, track record, and integrity.
- Establish standards and internal procedures to implement the RBI fit and proper directions.
- Ensure all Directors understand the policy and their ongoing obligations to meet its requirements.

1.3 Scope and Coverage

To put in place an internal process on a continuing basis, in order to streamline and bring uniformity in the process of due diligence while appointing/re-appointing directors and assessing their performance for the purpose of their continuance as directors, the policy lays down the norms to be followed for deciding the fit and proper criteria for the directors and assessing the same on a continuous basis.

2. Regulatory Requirements



Authority: The Board after the recommendation made by NRC, shall take forward the appointment or otherwise on the basis of the process of due diligence undertaken by the NRC to determine the 'fit and proper' status of existing directors/ the person proposed to be appointed as a director.

Need for prior approval of RBI: In the case of non-independent directors, the Company shall examine whether the appointment of the selected individual requires prior approval from RBI in accordance with RBI Regulations. If so, the Company shall initiate the process to obtain RBI's prior approval before giving the effect of the resolution of the Board and NRC. Only after approval from RBI, the filings with RoC would be completed.

Manner and procedure: The Company shall obtain necessary information and declaration in the format enclosed as Annexure-1 from the persons proposed to be appointed as directors, for the purpose of consideration of NRC/ Board. Irrespective of whether prior approval of the RBI is required or not, the Company shall collect all such documents [like the personal particulars in the prescribed format, bankers' opinion report, CIBIL score, specified declarations including his / her (together with the interest of spouse and unmarried children) interest in other companies such as shareholding or directorships, consents, etc. in the format prescribed by RBI] as are required under RBI directions to be submitted to RBI for their post facto due diligence and all other documents, as may be called for by RBI after submission of the documents.

Due Diligence process: The Company shall undertake a process of due diligence to determine the suitability of a person for appointment / renewal of appointment as a director on the Board, based upon qualification, technical expertise, track record, integrity and other 'fit and proper' criteria. Necessary information and declaration from the proposed / existing directors shall be obtained in the format given in Annexure-1 and work experience related information which will form a part of Annexure-2.

The Company shall ensure that these declarations are scrutinized by the NRC. Based on the information provided in the signed declaration, the NRC shall decide on the acceptance or otherwise of the Directors, where considered necessary.

The Company shall obtain annually, as on March 31, a simple declaration from the Directors that the information already provided has not undergone change and where there is any change, ensure that requisite details are furnished by them forthwith.

Criteria: The NRC and Board shall determine the 'fit and proper' status of the existing directors at least at an annual interval and for the persons proposed to be appointed as directors at the time of their being considered for the purpose, based on the broad criteria as mentioned hereunder:

- Educational qualification
- Experience and field of expertise
- Track record and integrity
- Regulatory Compliances
- Contribution to the growth of business
- Enhancement in Relationship with stake holders – existing as well as prospective investors, bankers, financial institutions, customers, etc.



Other requirements:

- a) He / She shall possess a valid Director Identification Number (DIN) or any other identification number prescribed by the Central Government which shall be treated as Director Identification Number for the purposes of the Act;
- b) He / She should not have been disqualified under the Act or pursuant to any Order of the Securities and Exchange Board of India or any other such Authority;
- c) He / She shall fulfill the age criteria as may be stipulated under the Companies Act, SEBI LODR Regulations and by the Reserve Bank of India;
- d) He / She, if identified to be appointed as Independent Director, shall fulfill the criteria of Independence stipulated under the Companies Act, SEBI LODR Regulations, or any other applicable laws, as amended from time to time;
- e) He / She shall register his / her name for inclusion in the Databank maintained by the Indian Institute of Corporate Affairs (IICA) and has passed or been exempted from the online self-assessment test as prescribed under the Companies Act, in case of appointment as Independent Directors.
- f) There shall be no conflict of interest in performing duties as a Director on the Board or in case of conflict of interest, it would be prudent to conclude that the conflict will not create a material risk that the person will fail to perform the duties properly and independently, and adequate disclosures shall be made by the person in this regard.

(The above list is only illustrative and not exhaustive).

The NRC and the Board shall pass a resolution to the effect of selecting the proposed person as an additional director of the Company; in the case of a non-independent director requiring prior approval of RBI, the appointment will come into effect only after the RBI approval is received.

Reporting to RoC / RBI: Post approval of the RBI where applicable, and post appointment by the Board, necessary filing will be done with RoC within the prescribed timelines. Also the Company shall furnish to RBI, on a quarterly basis, a statement on change of directors, and a certificate from its Managing Director / CEO that 'fit and proper criteria' in selection of the directors has been followed. In this regard, it shall be ensured that:

- the statement reaches the Regional Office of the Department of Supervision of RBI where the company is registered, within 15 days of the close of the respective quarter; and
- the statement for the quarter ending March 31, is certified by the auditors.

Execution of Deed of Covenants: Further, the directors should, in public interest, execute, every year, a Deed of Covenant with the Company in the format enclosed as Annexure-3.

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3. Policy Review

This Policy shall be reviewed at least annually to ensure its continued relevance, adequacy, and effectiveness in line with the Company's governance framework, regulatory expectations, and evolving business environment. All relevant extant & future master circular / directions / guidance notes issued from time to time would be the directing force and will supersede the contents of this policy.

Annexure 1 – Declarations / Undertaking by Directors

I.	Personal details of director		
	a.	Full name	
	b.	Date of Birth	
	c.	Educational Qualifications	
	d.	Relevant Background and Experience	
	e.	Permanent Address	
	f.	Present Address	
	g.	E-mail Address/ Telephone number	



	h.	Permanent Account Number under the Income Tax Act and name and address of Income Tax Circle	
	i.	Relevant knowledge and experience	
	j.	Any other information relevant to Directorship of the Company	
II.	Relevant Relationships of director		
	a.	List of Relatives if any who are connected with the Company (Refer Section 6 and Schedule 1A of the Companies Act, 1956 and corresponding provisions of New Companies Act, 2013)	
	b.	List of entities in which he/she is considered as being interested (Refer Section 299(3)(a) and Section 300 of the Companies Act, 1956 and corresponding provisions of New Companies Act, 2013)	
	c.	List of entities in which he/she is considered as holding substantial interest as contained in Definitions in Chapter I of the Master Directions	
	d.	Name of the Company in which he/she is or has been a member of the board (giving details of period during which such office was held)	
	e.	Fund and non-fund facilities, if any, presently availed of by him/her and/or by entities listed in II (b) and (c) above from the Company	
	f.	Cases, if any, where the director or entities listed in II (b) and (c) above are in default or have been in default in the past in respect of credit facilities obtained from the Company or any other company /bank	
III.	Records of professional achievements		
	a.	Relevant professional achievements	



IV.	Proceedings, if any, against the director	
	a. If the director is a member of a professional association/ body, details of disciplinary action, if any, pending or commenced or resulting in conviction in the past against him/her or whether he/she has been banned from entry into any profession/occupation at any time	
	b. Details of prosecution, if any, pending or commenced or resulting in conviction in the past against the director and/or against any of the entities listed in II (b) and (c) above for violation of economic laws and regulations.	
	c. Details of criminal prosecution, if any, pending or commenced or resulting in conviction in the last five years against the director	
	d. Whether the director attracts any of the disqualifications envisaged under Section 274 of the Companies Act 1956 and corresponding provisions of New Companies Act, 2013	
	e. Has the director or any of the entities at II (b) and (c) above been subject to any investigation at the instance of Government department or agency?	
	f. Has the director at any time been found guilty of violation of rules/regulations/legislative requirements by customs/excise/income tax/foreign exchange/other revenue authorities, if so, give particulars	
	g. Whether the director has at any time come to the adverse notice of a regulator such as SEBI, IRDA, MCA.	



		(Though it shall not be necessary for a candidate to mention in the column about orders and findings made by the regulators which have been later on reversed/set aside in toto, it would be necessary to make a mention of the same, in case the reversal/setting aside is on technical reasons like limitation or lack of jurisdiction, etc and not on merit, if the order of the regulator is temporarily stayed and the appellate/court proceedings are pending, the same also should be mentioned.)	
V.	Any other explanation/information in regard to items I to III and other information considered relevant for judging fit and proper		

Undertaking

I confirm that the above information is to the best of my knowledge and belief true and complete. I undertake to keep the Company fully informed, as soon as possible, of all events which take place subsequent to my appointment which are relevant to the information provided above.

I also undertake to execute the deed of covenant required to be executed by all directions of the Company.

Place:

Signature

Date:

VI. Remarks of Chairman of Nomination Committee/Board of Directors of the Company

Place:

Signature

Date:

Annexure 2 – Work Experience



Annexure 3 – Form of Deed of Covenants with a Director

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THIS DEED OF COVENANTS is made this ___ day of ___ and **BETWEEN Arvesta Financial Services Private Ltd.** – CIN (hereinafter a non-deposit taking NBFC with asset size of Rs. 1000 crore and above being called the “**Company**”) of the one part and **Mr..... resident of** (hereinafter called the “**Director**”) of the other part.

WHEREAS

- A. The director has been appointed as a director on the Board of Directors of the Company (hereinafter called “the Board”) and is required as a term of his appointment to enter into a Deed of Covenants with the Company.
- B. The director has agreed to enter into this Deed of Covenants, which has been approved by the Board, pursuant to his said terms of appointment.

NOW IT IS HEREBY AGREED AND THIS DEED OF COVENANTS WITNESSETH AS FOLLOWS:

- 1. The director acknowledges that his appointment as director on the Board of the Company is subject to applicable laws and regulations including the Memorandum and Articles of Association of the Company and the provisions of this Deed of Covenants.
- 2. The director covenants with the Company that:
 - (i) The director shall disclose to the Board the nature of his interest, direct or indirect, if he has any interest in or is concerned with a contract or arrangement or any proposed contract or arrangement entered into or to be entered into between the Company and any other person, immediately upon becoming aware of the same or at the meeting of the Board at which the question of entering into such contract or arrangement is taken into consideration or if the director was not at the date of that meeting concerned or interested in such proposed contract or arrangement, then at the first meeting of the Board held after he becomes so concerned or interested and in case of any other contract or arrangement, the required disclosure shall be made at the first meeting of the Board held after the director becomes concerned or interested in the contract or arrangement.
 - (ii) The director shall disclose by general notice to the Board about his other directorships, his memberships of bodies corporate, his interest in other entities and his interest as a partner or proprietor of firms and shall keep the Board apprised of all changes therein.

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- (iii) The director shall provide to the Company a list of his relatives as defined in the Companies Act, 2013 and to the extent the director is aware of directorships and interests of such relatives in other bodies corporate, firms and other entities.
- (iv) The director shall in carrying on his duties as director of the Company:
 - (a) use such degree of skill as may be reasonable to expect from a person with his knowledge or experience;
 - (b) in the performance of his duties take such care as he might be reasonably expected to take on his own behalf and exercise any power vested in his in good faith and in the interests of the Company;
 - (c) shall keep himself informed about the business, activities and financial status of the Company to the extent disclosed to him;
 - (d) attend meetings of the Board and Committees thereof (collectively for the sake of brevity hereinafter referred to as "Board") with fair regularity and conscientiously fulfil his obligations as director of the Company;
 - (e) shall not seek to influence any decision of the Board for any consideration other than in the interests of the Board;
 - (f) shall bring independent judgment to bear on all matters affecting the Company brought before the Board including but not limited to statutory compliances, performance reviews, compliances with internal control systems and procedures, key executive appointments and standards of conduct;
 - (g) shall in exercise of his judgement in matters brought before the Board or entrusted to him by the Board be free from any business or other relationship which could materially interfere with the exercise of his independent judgement; and
 - (h) shall express his views and opinions at Board meetings without any fear or favour and without any influence on exercise of his independent judgement;
- (v) The director shall have:
 - (a) fiduciary duty to act in good faith and in the interests of the Company and not for any collateral purpose;
 - (b) duty to act only within the powers as laid down by the Company's Memorandum and Articles of Association and by applicable laws and regulations; and
 - (c) duty to acquire proper understanding of the business of the Company.
- (vi) The director shall:
 - (a) not evade responsibility in regard to matters entrusted to him by the Board;
 - (b) not interfere in the performance of their duties by the whole-time directors and other officers of the Company and wherever the director has reasons to



- believe otherwise, he shall forthwith disclose his concerns to the Board; and
- (c) not make improper use of information disclosed to him as a member of the Board for his or someone else's advantage or benefit and shall use the information disclosed to him by the Company in his capacity as director of the Company only for the purposes of performance of his duties as a director and not for any other purpose.

3. The Company covenants with the director that:

- (i) the Company shall apprise the director about:
 - (a) Board procedures including identification of legal and other duties of Director and required compliances with statutory obligations;
 - (b) control systems and procedures;
 - (c) voting rights at Board meetings including matters in which Director should not participate because of his interest, direct or indirect therein;
 - (d) qualification requirements and provide copies of Memorandum and Articles of Association;
 - (e) corporate policies and procedures;
 - (f) insider dealing restrictions;
 - (g) constitution of, delegation of authority to and terms of reference of various committees constituted by the Board;
 - (i) appointments of Senior Executives and their authority and remuneration policy,
 - (j) deliberations of committees of the Board, and
 - (k) communicate any changes in policies, procedures, control systems, applicable regulations including Memorandum and Articles of Association of the Company, delegation of authority, Senior Executives, etc. and appoint the compliance officer who shall be responsible for all statutory and legal compliance.
- (ii) the Company shall disclose and provide to the Board including the director all information which is reasonably required for them to carry out their functions and duties as a director of the Company and to take informed decisions in respect of matters brought before the Board for its consideration or entrusted to the director by the Board or any committee thereof;
- (iii) the disclosures to be made by the Company to the directors shall include but not be limited to the following:
 - a) all relevant information for taking informed decisions in respect of matters brought before the Board;
 - b) Company's strategic and business plans and forecasts;
 - c) organisational structure of the Company and delegation of authority;
 - d) corporate and management controls and systems including procedures; (e) economic features and marketing environment;



- e) information and updates as appropriate on Company's products; (g) information and updates on major expenditure;
 - f) periodic reviews of performance of the Company; and
 - g) report periodically about implementation of strategic initiatives and plans;
 - (iv) the Company shall communicate outcome of Board deliberations to directors and concerned personnel and prepare and circulate minutes of the meeting of Board to directors in a timely manner and to the extent possible within two weeks of the date of conclusion of the Board meeting; and
 - (v) advise the director about the levels of authority delegated in matters placed before the Board.
4. The Company shall provide to the director periodic reports on the functioning of internal control system including effectiveness thereof.
5. The Company shall appoint a compliance officer who shall be a Senior executive reporting to the Board and be responsible for setting forth policies and procedures and shall monitor adherence to the applicable laws and regulations and policies and procedures including but not limited to directions of Reserve Bank of India and other concerned statutory and governmental authorities.
6. The director shall not assign, transfer, sublet or encumber his office and his rights and obligations as director of the Company to any third party provided that nothing herein contained shall be construed to prohibit delegation of any authority, power, function or delegation by the Board or any committee thereof subject to applicable laws and regulations including Memorandum and Articles of Association of the Company.
7. The failure on the part of either party hereto to perform, discharge, observe or comply with any obligation or duty shall not be deemed to be a waiver thereof nor shall it operate as a bar to the performance, observance, discharge or compliance thereof at any time or times thereafter.
8. Any and all amendments and / or supplements and / or alterations to this Deed of Covenants shall be valid and effectual only if in writing and signed by the director and the duly authorised representative of the Company.
9. This Deed of Covenants has been executed in duplicate and both the copies shall be deemed to be originals.

IN WITNESS WHEREOF THE PARTIES HAVE DULY EXECUTED THIS AGREEMENT ON THIS DAY, MONTH AND YEAR FIRST ABOVE WRITTEN

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